

HORIZON TECHX

Finance & Investment Analysis Internship

TASK 3: INVESTMENT PORTFOLIO CREATION

Portfolio Type: Hypothetical / Academic Investment Portfolio.

Hypothetical Portfolio Value: ₹1,00,000

Prepared by: Joshna Darupally

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1. Objective

- The objective of this task is to construct a diversified hypothetical investment portfolio worth **₹1,00,000** by allocating capital among stocks, exchange-traded funds (ETFs), and cryptocurrencies.
- The portfolio is designed to demonstrate the principles of **asset allocation, diversification, risk management and long-term investment planning**.
- The allocation gives the largest share to diversified ETFs, while individual stocks provide direct equity exposure and cryptocurrency is maintained at a relatively small allocation because of its higher volatility.

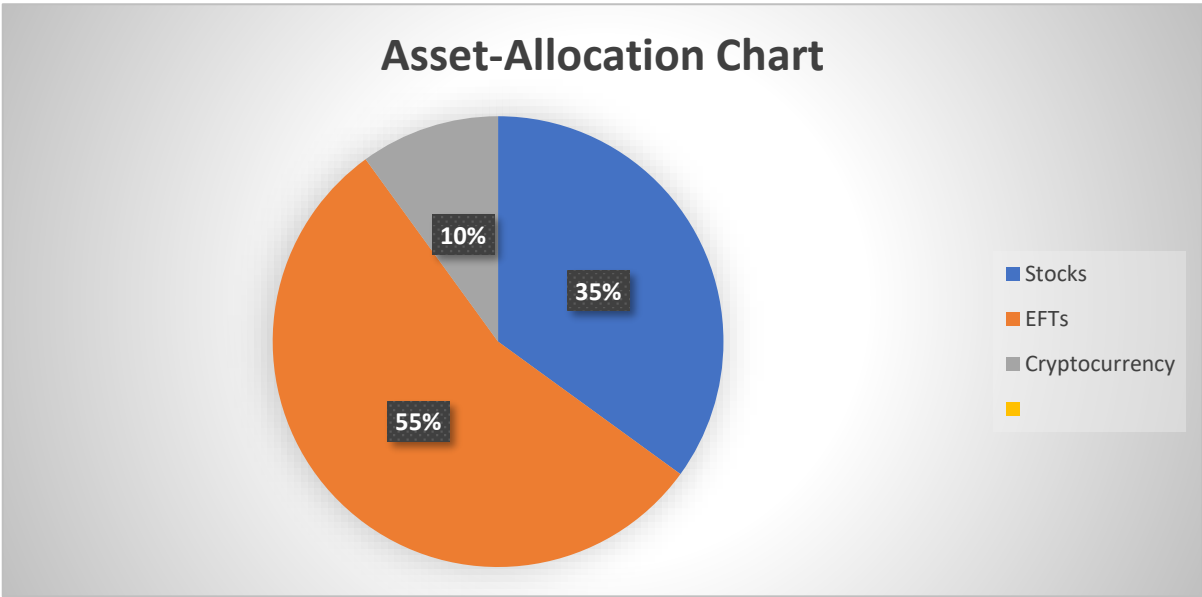
2. Asset-Allocation Chart

The target allocation is:

- **Stocks: 35% — ₹35,000**
- **ETFs: 55% — ₹55,000**
- **Cryptocurrency: 10% — ₹10,000**

The remaining allocation structure is deliberately tilted toward ETFs because diversification can reduce concentration risk. SEBI's investor education material explains that asset allocation should consider goals, risk tolerance and investment horizon, and that diversification across asset classes can help manage risk.

₹1,00,000 Portfolio Asset Allocation



3. Complete ₹1,00,000 Portfolio Table

Asset Class	Investment	Amount	Weight	Purpose
Stock	Reliance Industries Ltd.	₹15,000	15%	Diversified Indian business exposure
Stock	Tata Consultancy Services Ltd.	₹11,000	11%	IT-services exposure
Stock	HDFC Bank Ltd.	₹9,000	9%	Banking and financial-services exposure
ETF	Nifty 50 ETF	₹40,000	40%	Core diversified Indian equity exposure
ETF	Gold ETF	₹15,000	15%	Diversification and defensive exposure
Crypto	Bitcoin	₹7,000	7%	Limited exposure to digital assets
Crypto	Ethereum	₹3,000	3%	Additional digital-asset exposure
TOTAL		₹1,00,000	100%	

4. Investment Rationale

- **Stocks – 35%**

The stock allocation is divided among Reliance Industries, TCS and HDFC Bank. These companies represent different areas of the Indian economy, helping reduce dependence on one particular sector.

Reliance Industries – 15%:

Provides exposure to a large diversified Indian business with interests across multiple sectors.

TCS – 11%:

Provides exposure to India's technology and IT-services sector and adds a different growth driver to the portfolio.

HDFC Bank – 9%:

Provides exposure to India's banking and financial-services sector.

- **ETFs – 55%**

ETFs form the largest component of the portfolio.

Nifty 50 ETF – 40%:

This acts as the portfolio's core equity allocation. The Nifty 50 consists of 50 stocks and represents major sectors of the Indian economy.

Gold ETF – 15%:

Gold is included as a diversifying asset rather than as the primary growth component. Its purpose is to reduce dependence on equity-market performance.

- **Cryptocurrency – 10%**

Bitcoin and Ethereum are included as a small satellite allocation.

Bitcoin – 7%: Provides exposure to the largest and most established cryptocurrency asset.

Ethereum – 3%: Provides additional exposure to the digital-asset ecosystem.

5. Risk-Management Section

The portfolio uses several risk-management principles:

A. Diversification

- ❖ The ₹1,00,000 is distributed across individual stocks, ETFs, gold and cryptocurrency rather than being concentrated in one investment.
- ❖ SEBI describes diversification as investing across different financial instruments, industries and categories to reduce portfolio risk, while noting that diversification does not eliminate the possibility of loss.

B. Position limits

No individual stock represents more than **15%** of the portfolio.

C. Crypto limitation

Cryptocurrency is restricted to **10%** of the portfolio to prevent a highly volatile asset class from dominating overall portfolio risk.

D. ETF core

More than half of the portfolio is allocated to ETFs, providing a diversified core rather than relying entirely on individual-stock selection.

E. Periodic rebalancing

The portfolio should be reviewed periodically so that large market movements do not cause the actual allocation to become significantly different from the target allocation.

6. Stress-Test Analysis

A stress test estimates how the hypothetical portfolio could behave under different market conditions.

Scenario A – Moderate Market Correction

Assumptions:

Component	Assumed Change	Portfolio	Estimated Change(Assumed change*portfolio)
Individual stocks	-20%	35,000	-₹7,000
Nifty 50 ETF	-15%	40,000	-₹6,000
Gold ETF	+5%	15,000	+₹750
Crypto	-50%	10,000	-₹5,000
Estimated portfolio loss			-₹17,250
Estimated portfolio value			₹82,750

Scenario B – Severe Market Stress

Assumptions:

Component	Assumed Change	Portfolio	Estimated Change(Assumed change*portfolio)
Individual stocks	-30%	35,000	-₹10,500
Nifty 50 ETF	-25%	40,000	-₹10,000
Gold ETF	-10%	15,000	-₹1,500
Crypto	-60%	10,000	-₹6,000
Estimated portfolio loss			₹28,000

Estimated portfolio value			₹72,000
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Scenario C – Positive Market Environment

Assumptions:

Component	Assumed Change	Portfolio	Estimated Change(Assumed change*portfolio)
Individual stocks	+20%	35,000	+₹7,000
Nifty 50 ETF	+15%	40,000	+₹6,000
Gold ETF	+8%	15,000	+₹1,200
Crypto	+40%	10,000	+₹4,000
Estimated portfolio loss			+₹18,200
Estimated portfolio value			₹1,18,200

7. Portfolio Monitoring and Rebalancing Plan

The portfolio should be monitored on a **quarterly basis**.

Monitoring checklist

- I. Review the current value of every investment.
- II. Calculate the actual percentage allocation.
- III. Compare actual allocation with the target allocation.
- IV. Review company fundamentals and major developments.
- V. Review ETF tracking and portfolio composition.
- VI. Review cryptocurrency risk and volatility.
- VII. Rebalance if an asset class moves materially away from its target weight.

Suggested rebalancing rule

A simple academic rule is to review the portfolio whenever an asset-class allocation moves approximately **5 percentage points away from its target**.

For example, if the target ETF allocation is 55% but it increases to 61%, the portfolio can be reviewed for possible rebalancing.

Rebalancing should be based on the portfolio's objectives and risk tolerance rather than short-term market movements.

8. Conclusion

- The proposed ₹1,00,000 portfolio is divided among stocks, ETFs, and cryptocurrency to create a balanced investment plan. ETFs form the main part of the portfolio for diversification, while stocks provide exposure to different Indian sectors.
- A small portion is invested in cryptocurrency because it has higher risk and volatility.
- The stress-test analysis shows that the portfolio may still face losses during a market downturn, but diversification can help reduce the overall risk.
- Regularly checking the portfolio and rebalancing it when needed can help maintain the planned allocation.
- Overall, this portfolio demonstrates the importance of **diversification, asset allocation, risk management, and regular monitoring** when creating an investment portfolio.

9. References

- [SEBI Investor – Financial Education Booklet](#) — asset allocation and diversification guidance.
- [NSE India – Nifty 50 Index](#) — official information on the Nifty 50 and its diversification across sectors.
- [Nifty Indices – Nifty 50](#) — official index details and methodology.
- [NSE India – Indices FAQs](#) — information about Nifty 50 construction and methodology.